



MEMORANDUM

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|--|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: |

TO : ALL MARKET PARTICIPANTS

SUBJECT : AMENDMENTS TO ARTICLE III, PART A OF THE CONSOLIDATED LISTING AND DISCLOSURE RULES

DATE : May 12, 2023

Please be advised that the Securities and Exchange Commission has approved the insertion of a new Section 13 in Article III, Part A of the PSE Consolidated Listing and Disclosure Rules (the "Rules") as follows:

SECTION 13. STABILIZATION FUND - AN APPLICANT COMPANY WHICH CONDUCTS A SECONDARY OFFERING (AS DEFINED IN THE RULES) SHALL HAVE A STABILIZATION FUND IN THE FOLLOWING AMOUNTS:

OFFER SIZE	AMOUNT OF STABILIZATION FUND
UP TO ₱10 BILLION	NOT LESS THAN 10% BUT NOT MORE THAN 15% OF THE BASE OFFER
MORE THAN ₱10 BILLION UP TO ₱25 BILLION	NOT LESS THAN 12.5% BUT NOT MORE THAN 15% OF THE BASE OFFER
MORE THAN ₱25 BILLION	15% OF THE BASE OFFER

THE APPLICANT COMPANY SHALL ENSURE THAT ANY PRICE STABILIZATION ACTIVITY SHALL NOT CAUSE THE COMPANY TO BE IN BREACH OF THE MINIMUM PUBLIC OWNERSHIP REQUIREMENT.

THE STABILIZING AGENT SHALL SUBMIT A WEEKLY REPORT TO THE EXCHANGE OF ANY PRICE STABILIZATION ACTIVITY CONDUCTED DURING THE PERMITTED STABILIZATION PERIOD OR OF THE FACT THAT NO STABILIZATION ACTIVITY WAS CONDUCTED WITHIN THAT WEEK. IF THE STABILIZATION FUND IS FULLY UTILIZED PRIOR TO THE EXPIRY OF THE PERMITTED STABILIZATION PERIOD, THE ISSUER SHALL DISCLOSE SUCH FACT TO THE EXCHANGE IN ACCORDANCE WITH SECTION 4.1 OF THE REVISED DISCLOSURE RULES.

FOR THE AVOIDANCE OF DOUBT, ANY STABILIZATION ACTIVITY SHALL REQUIRE PRIOR APPROVAL OF THE COMMISSION, IN ACCORDANCE WITH THE SECURITIES REGULATION CODE. THE APPLICANT COMPANY OR THE STABILIZING AGENT SHALL SUBMIT TO THE EXCHANGE A COPY OF THE SAID APPROVAL PRIOR TO THE START OF THE OFFER PERIOD.

Succeeding sections are re-numbered accordingly.

The entire Article III, Part A of the Rules containing the above marked-up insertion is attached as **Annex "A"**.

The above amendment shall take effect immediately.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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**ARTICLE III
EQUITY SECURITIES**

**PART A
GENERAL REQUIREMENTS FOR INITIAL LISTING**

SECTION 1. Application for Admission to Listing; General Documentary Requirements – The Applicant Company shall submit the documentary requirements set forth in Appendix 1.

*Notes: The documentary requirements are set forth in the checklists for initial and additional listings. (**Appendix 1** – Checklist of documentary requirements for initial and additional listing applications)*

*The Exchange has a standard format for the Application for Listing of Stocks, Agreement with Registrar or Transfer Agent and Distribution of Capital Stock to its Stockholders. (**Appendix 1-A** – Exchange’s standard format for the Application for Listing of Stocks, Agreement with Registrar or Transfer Agent and Distribution of Capital Stock to its Stockholders). These forms cannot be re-typed.*

*The Additional Documentary Requirements for a Mining Company took into consideration the requirements under the Rules, the Philippine Mineral Reporting Code for Reporting of Exploration Results, Mineral Resources and Ore Reserves (“PMRC”) and the Implementing Rules and Regulations of the PMRC. (**Supplemental Rule 1** – PSE Memorandum No. 2008-0406 dated 22 August 2008 re: Philippine Mineral Reporting Code; **Supplemental Rule 1.1** - PSE Memorandum No. 2010-0501 dated 27 October 2010 re: Implementing Rules and Regulations of the Philippine Mineral Reporting Code; **Supplemental Rule 1.2** – PSE Memo for Brokers No. 220-2005 dated 8 September 2005 re: Interpretation of the Listing Rules for Mining Companies; and **Supplemental Rule 1.3** - PSE Memorandum CN_2021-0056 dated 4 November 2021 re: Effectivity of the 2020 Philippine Mineral Reporting Code [2020 PMRC])*

*The Supplemental Documentary Requirements for Petroleum and Renewable Energy Companies took into consideration the requirements under the Rules and the Supplemental Listing and Disclosure Requirements for Petroleum and Renewable Energy Companies. (**Supplemental Rule 2** – PSE Memorandum LA-No. 2011-0032 dated 1 September 2011 re: Supplemental Listing and Disclosure Requirements for Petroleum and Renewable Energy Companies)*

*The checklist for Initial Public Offering – Real Estate Investment Trust (“REIT”) took into consideration the requirements under the Rules and the Listing Rules for Real Estate Investment Trust (REITs). (**Supplemental Rule 3** – PSE Memorandum No. 2010-0460 dated 29 September 2010 re: the Listing Rules for Real Estate Investment Trust [REITs]; **Supplemental Rule 3** – PSE Memorandum No. 2020-0005 dated 7 February 2020 re: Amended Listing Rules for Real Estate Investment Trust [REITs]; and **Supplemental Rule 3.1** - PSE Memorandum MEA – No. 2022-0001 dated 13 June 2022 re: Effectivity of Amendments to the REIT Listing Rules on Lock-Up Exemption and Stockholders’ Equity)*

*The Supplemental Documentary Requirements for Public-Private Companies Listing with the Exchange took into consideration the requirements under the Supplemental Listing and Disclosure Rules Applicable to a PPP Company. (**Supplemental Rule 14** – PSE Memorandum CN No. 2016-0081 dated 8 December 2016 re: Supplemental Listing and Disclosure Rules Applicable to a PPP Company).*

*The Checklist of Documentary Requirements for SME Board Listing under the Sponsor Model took into consideration the requirements under the Amended Listing Rules. (**Supplemental Rule 12** – PSE Memorandum CN-No. 2021-0021 dated 24 March 2021 re: Amended Listing Rules)*

SECTION 2. Listing Agreement – Upon the filing of the application for initial listing, the Applicant Company shall enter into an agreement with the Exchange manifesting its conformity to comply with and be bound by all the listing rules, requirements and policies of the Exchange.

Note: The Listing Agreement must be secured from the Exchange. The Applicant Company must submit four (4) original copies of the Listing Agreement.

SECTION 3. Publication of Application – The Applicant Company shall cause the publication of a notice of the fact of filing of the listing application with the Exchange and registration statement as required under the SRC, or any amendment or revisions thereof, and other pertinent laws. For that purpose, the Applicant Company shall submit Affidavits of Publication signed by duly authorized representatives of the newspapers concerned, attesting to its publication.

SECTION 4. Engagement of Underwriter – The Applicant Company shall engage the services of a duly licensed Underwriter, who, among others, shall firmly underwrite the entire issue. The Underwriter may likewise act as the Applicant Company's lead Underwriter/Issue Manager. The Applicant Company may at its option, engage the services of another entity to act as its lead Underwriter/Issue Manager to manage the issue. The lead Underwriter shall exercise due diligence to ascertain that all material information contained in the Applicant Company's Prospectus, REIT Plan or Offering Memorandum, including their amendments or supplements, are true and correct, and that no material information was omitted, which was necessary in order to make the statements contained in the Applicant Company's Prospectus or Offering Memorandum not misleading.

Note: The duly signed mandate letter of the Underwriter as well as the draft Underwriting Agreement must be submitted to the Exchange upon filing of the listing application.

SECTION 5. Issue Managers' and Underwriters' Undertaking – Upon the filing of the application for initial listing, the Applicant Company shall submit to the Exchange the written undertaking of the Issue Managers and Underwriters manifesting their conformity to comply with and be bound by all the applicable listing and disclosure rules,

requirements and policies of the Exchange in relation to the issue applied for by the Applicant Company.

SECTION 6. Engagement of Stock Transfer Agent – The Applicant Company shall engage the services of a duly licensed stock transfer agent acceptable to the Exchange.

The Applicant Company shall take full responsibility for all the acts of its transfer agent. The Applicant Company shall execute and submit an undertaking, holding itself jointly and severally liable for all the acts of its transfer agent in relation to the issue.

SECTION 7. Duties and Obligations of a Transfer Agent – The following are, among others, the duties and obligations of a transfer agent of a Listed Company:

- (a) It shall only issue or register securities of the Issuer authorized for issuance and listing by the Exchange;
- (b) It should not have any backlog in the transfer and registration of shares at the time of appointment by the Issuer;
- (c) For securities already traded in the Exchange and lodged with the Philippine Central Depository, Inc. (“PCD”), the transfer agent, when requested by the shareholder and when delivery of the necessary documents relative to said request is in order, shall issue the certificate(s) not later than fifteen (15) Trading Days from receipt of request, unless a longer period has been agreed upon by the shareholder and/or authorized by the Exchange;

Note: The functions of the PCD have been assumed by the Philippine Depository and Trust Corporation (“PDTC”). Any and all references to the PCD in the Rules shall refer to PDTC or any other entity duly authorized by the Commission.

- (d) The transfer agent, when requested by the Clearing Agency/Depository or by the brokerage firm to confirm whether the certificates delivered are valid and not defective, shall issue such confirmation within two (2) Trading Days from receipt of such request. In the event the certificates delivered are found defective, the transfer agent shall notify the Clearing Agency/Depository or brokerage firm within two (2) Trading Days. A longer turnover period may be agreed upon in case the books of the corporation are declared closed or may be opted by the investor based on the stated procedures of the transfer agent.

SECTION 8. Disclosure – The Applicant Company shall fully disclose any and all material information relative to the issue. The Exchange may require disclosure of additional or alternative items of information as it considers appropriate and material in any particular case.

The Applicant Company must show its willingness to comply with the full disclosure policy of the Exchange and Commission. If during the application for initial listing, the Applicant Company fails to make a timely disclosure of material information or deliberately misrepresents material facts to the Exchange, then the Exchange may consider said actions as evidence of the Applicant Company's refusal to comply with the full disclosure policy of the Exchange and Commission and on the basis thereof, reject the listing application.

SECTION 9. Listing of Issued and Outstanding Shares and Other Securities, Including Treasury Shares – All issued and outstanding securities of the type and class applied for, including treasury shares, shall be applied for listing in the Exchange.

SECTION 10. Full Payment of Issued and Outstanding Shares – Only fully paid subscribed securities can be applied for listing in the Exchange.

SECTION 11. Minimum Number of Directors – Upon the filing of the listing application, the Applicant Company shall have and maintain a minimum of seven (7) directors.

SECTION 12. Applicable Fiscal Year – The Applicant Company shall be prohibited from changing its fiscal year if the purpose of the change is to take advantage of exceptional or seasonal profits in order to show a better profit record.

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SECTION 1314. Offering Price – The offering price for initial public offerings shall be at the discretion of the Applicant Company.

SECTION 1415. Red Herring Prospectus – The Applicant Company shall submit its Red Herring Prospectus to the Listings Department at least seven (7) calendar days prior to its presentation to the Listing Committee.

Note: In view of the abolition of the Listing Committee, the Red Herring Prospectus shall be presented to the Exchange's Management. (see Guidance Note 2)

SECTION 1516. Offering Prospectus, Press Releases and Other Similar Documents – All offering Prospectus, primers, subscription agreement forms, newspaper prints, advertisements, press releases and the like in connection with the initial listing shall first be submitted to the Exchange for review and disclosure purposes.

Note: The Exchange requires soft copies of certain documents, such as the Prospectus, in relation to an Applicant Company's listing application. However, in case the relevant document is subject to restrictions under foreign laws or regulations, the Applicant Company may submit a written request to the Exchange that the said relevant document be made available for downloading by the public at the Applicant Company's website in accordance with the Exchange's Guidelines for Uploading of Required Documents with Access Restrictions. (Guidance Note 3 – Guidelines for Uploading of Required Documents with Access Restrictions)

SECTION 1617. Lodgment of Securities – As a condition for the listing and trading of the securities of an Applicant Company, the Applicant Company shall

electronically lodge its registered securities with the Philippine Depository and Trust Corporation ("PDTC"), or any other entity duly authorized by the Commission, without any jumbo or mother certificate in compliance with the requirements of Section 43 of the SRC. In compliance with the foregoing requirement, the actual listing and trading of securities on the scheduled listing date shall take effect only after the submission by the Applicant Company of the following:

- (a) Sworn corporate secretary's certificate stating that all the securities have been issued in uncertificated form in accordance with the requirements of Section 43 of the SRC and electronically lodged with the PDTC or any other entity without any jumbo or mother certificate;
- (b) Written confirmation issued by the transfer agent confirming that it has the capability and capacity to handle the issuance and transfer of uncertificated securities; and
- (c) Written confirmation issued by the PDTC or any other entity confirming the electronic lodgment of the Applicant Company's securities.

The above requirements shall also apply to follow-on offerings and additional listing applications.

Notes: The above Section 16 was amended to reflect the provisions of the Amended Rule on Lodgment of Securities. (Supplemental Rule 4 – PSE Memorandum No. 2010-0203 dated 4 May 2010 re: Amended Rule on Lodgment of Securities – Implementation of the Electronic Lodgment of all Registered Securities)

Subsequently, the Exchange issued interpretative guidelines on the Amended Rule on Lodgment stating that the said amended rule shall apply to all securities that are lodged with the PDTC or any other entity duly authorized by the Commission.

The interpretative guidelines stated that the Amended Rule on Lodgment of Securities is applicable to listing applications involving:

- *The offer of shares/securities of the Applicant Company in case of an initial public offering;*
- *The shares/securities that are lodged with the PDTC, or any other entity duly authorized by the Commission in the case of a Listing by Way of Introduction;*
- *New securities to be offered and applied for listing by an existing Listed Company; and*
- *Additional listing of securities of an existing Listed Company.*

The Amended Rule on Lodgment of Securities is applicable to Companies applying for initial listing starting 1 July 2009. On the other hand, existing listed companies are mandated to comply with the Amended Rule on Lodgment of Securities starting 1 July 2010. (Guidance Note 4 – PSE Memorandum No. 2010-0246 dated 21 May 2010 re: the Interpretative Guidelines for the Amended Rules on Lodgment of Securities with a copy of PSE Memorandum No. 2010-0233 dated 18 May 2010)

SECTION 1718. Implementation of the Lock-Up - In order to faithfully observe the lock-up provision, the Exchange shall require the Applicant Company to lodge the shares with the PCD through a PCD participant or any other entity authorized by the Commission for the electronic lock-up of the subject shares or enter into an Escrow Agreement with the Trust Department or custodian unit of an independent and reputable financial institution that is acceptable to the Exchange in order to have the subject shares physically delivered to the escrow agent for deposit and safekeeping during the lock-up period. The Escrow Agreement shall contain, among others, the following points:

- (a) The Company shall ensure that the lock-up shares are electronically registered with the PCD through a PCD participant or any other entity authorized by the Commission for the electronic lock-up of the subject shares for safekeeping;
- (b) The escrow agent shall notify and seek prior approval from the Exchange before the subject shares are removed from its custody;
- (c) The escrow agent shall immediately inform the Exchange of a subsequent event if in its sound judgment, it perceives that there is a potential violation of the agreement; and
- (d) Within seven (7) calendar days after the lapse of the lock-up period stipulated in the Escrow Agreement, the escrow agent shall make a final report to the Exchange on the total number of shares held in escrow and other information required by the Exchange.

The Applicant Company shall furnish the Exchange a certified true copy of the Escrow Agreement at least seven (7) calendar days before the start of the Offering Period.

Note: Please see related note in Section 7 above. A draft Lock-Up or Escrow Agreement must be submitted to the Exchange for review prior to the execution of the same.

SECTION 1718.1. Other Arrangements or Agreements; Conditions - In cases where the Applicant Company has more than one hundred (100) security holders and either the Exchange or the provisions of the Rules require a lock-up of all existing securities of the Applicant Company, the Exchange may, at its discretion, accept other arrangements or agreements executed by the Applicant Company for the purpose of complying with the lock-up requirements; provided that the said arrangements or agreements may be availed of by the Applicant Company and accepted by the Exchange only if the following conditions exist:

- (a) The Applicant Company has successfully placed ninety-eight percent (98%) of its security holdings subject to lock-up through an escrow agreement as described above;

- (b) The Applicant Company must show that the alternative arrangements and agreements adopted by the Applicant Company for the lock-up are effective means of locking-up the security holders and have substantially the same effect or in case of contracts, the same provisions required under said escrow agreement; and
- (c) The securities of major security holders and security holders who are project proponents or officers and directors of the Applicant Company and their immediate family must be locked-up by means of an escrow agreement as described above.

In all cases, the Applicant Company shall cause the recording of the securities subject of the lock-up in the books of the Company. The Applicant Company shall furnish the Exchange a sworn corporate secretary's certification stating that the subject securities are duly recorded in the Applicant Company's books at least seven (7) calendar days before the offer period.

SECTION 1819. Responsibility of Directors and Officers of the Applicant Company and Lead Underwriter – Directors and officers of the Applicant Company are required to accept responsibility for the information which the listing application and all documents submitted to the Exchange contain, including its Prospectus. A statement to that effect shall be incorporated in the Prospectus. Moreover, the last page of the Prospectus or Offering Memorandum shall contain the following:

- (a) A statement that the Applicant Company and the lead underwriter(s) have exercised due diligence in ascertaining that all material representations contained in the Prospectus or Offering Memorandum, their amendments and supplements are true and correct and that no material information was omitted, which was necessary in order to make the statements contained in said documents not misleading; and
- (b) The name and signature of a majority of the members of the Board of Directors of the Applicant Company and the chief executive officer/chief operating officer of the Applicant Company and the lead underwriter(s).